

New Venture Finance

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DESCRIPTION

This course is designed to help managers make better investment and financing decisions in entrepreneurial settings. Aimed at students interested in working as either entrepreneurs or investors, the class will explore topics from both perspectives. The curriculum focuses on the intersection of entrepreneurship and finance, with a primary emphasis on the venture capital process. We will cover the full lifecycle of a new venture, from sourcing and evaluating deals to structuring term sheets, measuring fund performance, and planning for a successful exit. The course uses a hybrid instructional model, combining asynchronous online lectures and readings with synchronous, interactive case discussions and exercises.

OBJECTIVES

At the close of this course, you will be able to:

- **Analyze** investment opportunities by evaluating the four key areas of a startup: the founding team, market opportunity, product, and early traction.
- **Calculate** startup valuations using the VC Method, working backward from a projected exit value while accounting for target returns and future dilution.
- **Structure** and negotiate venture financing deals by interpreting the key economic and control terms in term sheets, such as convertible preferred stock, anti-dilution clauses, and protective provisions.
- **Evaluate** the structure, economics, and performance of venture capital funds from the perspective of both a General Partner (GP) and a Limited Partner (LP).
- **Compare** and contrast various funding sources for new ventures, including venture capital, angel investing, crowdfunding, and venture debt.
- **Develop** an optimal exit strategy for a startup by evaluating the trade-offs between the two primary exit avenues: an Initial Public Offering (IPO) and an acquisition.

COURSE MATERIALS

There is a required course reader with the cases that we will be discussing.

For those who would like to read more about some of the material covered in this course, the following **optional** textbooks are a good place to start.

- *Venture Capital and the Finance of Innovation* by Andrew Metrick and Ayako Yasuda.
- *Venture Capital, Private Equity, and the Financing of Entrepreneurship* by Josh Lerner, Ann Leamon, and Felda Hardyman
- *Venture Deals: Be Smarter Than Your Lawyer and Venture Capitalist* by Brad Feld and Jason Mendelson

REQUIREMENTS

Homework assignments or case memos will be due at the beginning of most class meetings.

Each case will come with guideline questions. Students are required to submit a two-page memorandum answering the questions prior to class. You may prepare the case memo in a group and submit only one copy, but **no group may exceed 3 students**.

In your memos and in class discussions, you should frame your arguments to win business discussions, not academic arguments. Academic research can give context to your ideas, but should not be the central focus of your memo or comments in class. You are looking to convince your colleagues and the instructor that your business proposal should be followed.

The case-portion of this course makes class participation a critical component of the learning process. It is important that you attend every class and come prepared to add to the discussion. You will be graded on the quality of your argument and presentation. It will be important to convince others of your positions, while always relating to classmates in a respectful manner. In the class, as in the business world, communication skills will weigh heavily in your evaluation.

The final exam in the course will be on an individual basis.

GRADING POLICY

The weighting for the final grade is as follows:

Class participation:	20%
Assignments:	20%
Midterm (In Class):	30%
Final (In Class):	30%

CHATGPT AND OTHER AI TOOLS

Large Language Models and AI in general are new and powerful tools. They can be helpful for asking questions about course material to deepen your understanding, but they can also make mistakes. As these tools are relatively new, this policy is designed to provide clear guidelines on how they can be used productively and ethically in this course.

You are **encouraged to use AI tools as a learning aid**. For instance, you can use them to:

- Define and explain key concepts from the lectures and readings.
- Ask for alternative examples of topics discussed in class.
- Get help understanding complex financial models or terms.

However, you must ultimately complete the graded work on your own. You **should not enter assignment questions directly into AI tools to get answers**. Submitting work generated by an AI tool as your own is a violation of academic integrity. For assignments, you are expected to do the analysis and write-up yourself.

The midterm and final exams will emphasize your ability to understand and implement the analytical tools discussed in this course. You are expected to work on your own, without the assistance of AI tools, on all exams.

TENTATIVE SCHEDULE

Week 1

- A. The VC Industry (Lecture)
- B. Deal Sourcing and Evaluation (Lecture)

Week 2

- A. Zipcar (Case)
- B. VC Securities (Lecture)

Week 3

- A. Hardina Smythe (Case)
- B. Valuation (Lecture)

Week 4

- A. Problem Set 1
- B. Term Sheets (Lecture)

Week 5

Midterm

Week 5

Trendsetter (Case)

Week 7

- A. Problem Set 2
- B. MuMate (Case)

Week 8

- A. Fund Structure (Lecture)
- B. Andreessen Horowitz (Case)

Week 9

- A. Exits and Distributions (Lecture)
- B. Alternative Funding Sources (Lecture)

Week 10

- A. Square IPO (Case)
- B. Review (Lecture)